

Exploitation of intellectual property rights

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Exploitation of intellectual property rights means using IP to **capture value** through commercialization, licensing, transfer, sale, enforcement, or strategic appropriation rather than merely owning the asset [1] [3] [4] [39].

How it is typically done

Mode	What it involves	Main effect	Citations
Licensing / transfer	Granting rights to firms, universities, or other parties; including non-traditional mechanisms like exchanges and auctions	Generates revenue and can speed diffusion	[3] [5] [6] [39]
Commercialization	Turning inventions or academic IP into products, services, or marketable outputs	Creates economic returns and market reach	[1] [2] [9] [10]
Appropriation / rent capture	Using patents, secrecy, lead time, and complementary assets to secure returns from innovation	Protects profits but can limit diffusion	[4] [13] [15] [16] [17] [40] [42]
Enforcement / litigation	Using courts or legal pressure to defend or extract value from IP	Can protect rights, but also raise welfare and competition concerns	[20] [21] [22] [24]

What the evidence suggests

- Stronger IP protection can increase **technology transfer** and **foreign licensing** in some settings, including Japanese firm-level data and some developing-country evidence [25] [26] [27].
- The effect is **conditional**, not universal: weaker absorptive capacity or early industrialization can reduce the benefits of stronger protection [27] [28] [29].
- Firms often rely on **more than patents alone**; secrecy, lead time, organizational controls, and complementary assets are also important for capturing returns [13] [15] [16] [17] [33] [40] [42].
- IP exploitation can also produce **rent-seeking**, **bargaining power advantages**, **litigation costs**, and **exclusionary effects** [5] [20] [22] [34] [37].

Bottom line

IP rights are best understood as a **value-capture tool with trade-offs**: they can enable commercialization and transfer, but they can also support exclusion and rent extraction depending on the institutional and firm context [3] [4] [11] [39] [42].

Confidence level: High — the conversation sources consistently support this definition and the main trade-offs, though the net effect varies by context [1] [3] [4] [25] [26] [27] [39].

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